Business Requirements Document

Churn Reason Taxonomy — Salesforce Implementation

Drawbridge | RM Operations | March 2026

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1. Overview

Drawbridge's current Salesforce churn reason field uses an eight-tag picklist that conflates symptoms with root causes, lacks a champion departure tag, and does not align to industry-standard CS taxonomy. This document specifies requirements for replacing it with a new seven-tag framework designed for three simultaneous use cases: Salesforce closed-lost tagging, board-level executive reporting, and frontline RM coaching.

2. Business Context

This initiative is driven by elevated churn in early 2026 and a need for cleaner data to support retention analysis, board reporting, and RM performance management. The new taxonomy must:

- Produce clean, actionable data at the tag level without requiring manual analysis of notes fields
- Support a three-layer executive narrative: structural churn (non-preventable), competitive churn, and controllable churn
- Enable frontline coaching conversations anchored to specific, defensible categories
- Integrate with the existing Win/Loss Description free-text field already in Salesforce

3. Stakeholders

Stakeholder	Role	Responsibility
Chris DeLisle	VP of Relationship Management	Business owner; taxonomy design; process sign-off
Ops Team	Salesforce Admin	Field build, validation rules, migration assessment
RM Team	End users	Tag closed-lost records; populate notes field
VP of RM (Chris)	Reviewer	Review and confirm tags during 1:1 pipeline reviews

4. Scope

In Scope

- New single-select picklist field: Churn Reason (Layer 1)
- Validation rule: field required when Opportunity Stage = Closed Lost
- Existing Win/Loss Description field: confirm it remains active and required on Closed Lost
- Retirement plan for old churn reason field (see Section 7)
- Report/dashboard update to surface new field in exec-level churn views

Out of Scope

- Layer 2 sub-reason picklist — to be scoped in a future phase once Layer 1 data matures
- Automated churn reason suggestions or AI tagging
- Changes to opportunity stages or pipeline structure

5. New Seven-Tag Taxonomy

The new field contains exactly seven values. No 'Other' option is included by design — if an RM cannot map a churn to one of the seven tags, it should be escalated to the VP of RM for classification rather than defaulting to a catch-all.

Tag	Definition	Primary Use
Lost to Competitor	Client selected a competing vendor, MSP, bundled platform, or consulting firm over Drawbridge.	Competitive intelligence; win/loss analysis; battlecard development
Insufficient Value Realized	Client did not experience enough ROI to justify renewal. Includes pricing objections, low adoption, product gaps, and budget cuts — price is treated as a symptom of value failure.	Highest-leverage CS coaching tag; triggers post-mortem on onboarding, QBR cadence, and value articulation
Brought In-House	Client built or hired internal cybersecurity/compliance capabilities to replace Drawbridge's outsourced services.	Drives 'augment, don't replace' positioning; relevant at firms scaling past $5B AUM
Business Wind-Down	Client firm, fund, or entity ceased operations — including fund liquidation, firm dissolution, or family office conversion.	Non-preventable; isolates structural market churn from controllable churn in exec reporting
M&A / Organizational Change	Client was acquired, merged, reorganized, or subject to a PE parent vendor mandate that displaced Drawbridge.	Feeds PE sponsor relationship strategy; sub-reason tracks whether mandate or acquisition drove loss

Tag	Definition	Primary Use
Champion Departure	Key decision-maker (CCO, COO, CISO, or managing partner) left the firm and the relationship did not survive the transition.	Directly measures multi-threading failure; coaches exec relationship depth across book
Poor Customer Experience	Client dissatisfied with service delivery, support responsiveness, onboarding, advisor quality, or relationship management.	Most actionable CS ops tag; triggers review of CSAT, ticket history, and advisor assignment

6. Salesforce Field Specification

Attribute	Value
Field Label	Churn Reason
Field Type	Picklist (single-select)
Object	Opportunity
Required	Yes — enforced via validation rule when Stage = Closed Lost
Values	Lost to Competitor | Insufficient Value Realized | Brought In-House | Business Wind-Down | M&A / Organizational Change | Champion Departure | Poor Customer Experience
Default Value	None (blank)
Visible to	All internal users with Opportunity access
Companion Field	Win/Loss Description (existing free-text field) — confirm required on Closed Lost, minimum 50 characters recommended

Validation rule logic (suggested):

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AND(ISPICKVAL(StageName, 'Closed Lost'), ISBLANK(Churn_Reason__c))
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7. Legacy Field — Migration Guidance

The existing churn reason field should be handled as follows. Migration approach is left to the ops team's discretion — options are provided below for evaluation.

Mapping Reference

Current Tag	New Tag	Rationale
Product Functionality Issues	**Insufficient Value Realized**	Product gaps are a sub-reason of value failure
Brought Internal	**Brought In-House**	Retained; label clarified
Displaced by Internal Competition	**Lost to Competitor**	Renamed for clarity
Onboarding Experience	**Poor Customer Experience**	Absorbed into broader service delivery tag
Pricing / Value Concerns	**Insufficient Value Realized**	Price is a symptom; root cause is value
Business Winddown	**Business Wind-Down**	Retained; definition tightened
M&A	**M&A / Organizational Change**	Expanded to include PE mandate scenarios
Poor Customer Service	**Poor Customer Experience**	Merged with onboarding
(none)	**Champion Departure**	New tag — fills critical gap

Migration Options (Ops Team Decision)

- Option A — Migrate historical data: Use the mapping above to backfill the new field on historical closed-lost records. Preserves trend continuity. Requires scripted data update or manual review.
- Option B — Preserve old field read-only: Rename the old field to 'Churn Reason (Legacy),' make it read-only, and leave historical records untouched. New field applies to records from go-live date forward. Simpler to implement; creates a data gap in historical trend views.
- Option C — Soft retire: Keep old field visible but remove from required validation. RMs stop populating it; it phases out naturally over time.

Recommendation from RM: leave this decision to ops. Either Option A or B is acceptable — just document the approach so exec reporting is clear on the historical vs. new-field boundary.

8. Reporting Requirements

The following reports/dashboards should be updated or created to surface the new field:

- Closed Lost by Churn Reason — count and ARR by tag, filterable by date range, RM, and segment
- Structural vs. Controllable Churn — group tags into: Structural (Business Wind-Down, M&A / Org Change, Champion Departure), Competitive (Lost to Competitor, Brought In-House), Controllable (Insufficient Value Realized, Poor Customer Experience)
- RM Churn Reason Distribution — per RM breakdown to support coaching conversations

- Monthly Churn Trend — tag distribution over time to track whether controllable churn is declining

9. Tagging Process (Summary)

Full process documentation is being built separately in the enablement platform. Summary for ops context:

- RM tags the Churn Reason field and completes Win/Loss Description when closing an opportunity as Closed Lost
- VP of RM reviews and confirms tags during weekly 1:1 pipeline reviews — RMs should not self-finalize tags without VP review
- If an RM cannot determine the correct tag, they flag for VP review rather than selecting a best-guess or leaving blank
- No 'Other' option — every churn maps to one of the seven tags; escalate to VP if unclear

10. Timeline & Dependencies

Milestone	Owner
BRD reviewed and approved by VP of RM	Chris DeLisle
Salesforce field built and validation rule live	Ops Team
Legacy field migration decision made	Ops Team
Reports/dashboards updated	Ops Team
RM team trained (via enablement platform)	VP of RM
Go-live — new field required on all Closed Lost	Ops Team + VP of RM